

		Furthermore, this ruling is made without prejudice to any party's right to expert discovery as set forth in Civil Procedure Code sections 2034.210, <i>et seq.</i> Plaintiffs shall give notice of this ruling.
7	Nguyen vs. Nguyen 30-2025-01516682	<u>Demurrer</u> Cross-Defendant Giac Nguyen's Demurrer to Cross-Complainant's Cross-Complaint is SUSTAINED with 15 days leave to amend as to the 2nd, 3rd, and 5th Causes of Action, and OVERRULED as to the 1st and 4th Causes of Action. If Cross-Complainants Quynh Nguyen, Quy Nguyen, and Hanh Vu do not amend the Cross-Complaint within the period of time stated above, Cross-Defendant Giac Nguyen shall file an answer or other pleading in response to the remaining causes of action of the Cross-Complaint within 10 days of the expiration of the period of time to amend. (See Cal. Rules of Court, rule 3.1320(j).) <u>Pending Motion</u> Cross-Defendant Giac Nguyen demurs to the 1st through 5th Causes of Action of the Cross-Complaint filed by Cross-Complainants Quynh Nguyen, Quy Nguyen, and Hanh Vu. <u>Standard for Demurrer</u> A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05.) For this reason, the court will not decide questions of fact on demurrer. (See <i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556.) Instead, the court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (<i>Serrano v. Priest</i> (1971) 5 Cal.3d 584, 591, citation omitted; see <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318). Therefore, the court will not consider facts that have not been alleged in the complaint unless they

		may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (<i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 fn.7.) However, “where facts appearing in attached exhibits or judicially noticed documents contradict, or are inconsistent with, the complaint's allegations, we must rely on the facts in the exhibits and judicially noticed documents.” (<i>Jimenez vs. Mrs. Gooch’s Natural Foods Markets, Inc.</i> (2023) 95 Cal.App.5th 645, 653.) In addition, the “allegations must be liberally construed, with a view to substantial justice between the parties.” (See Code Civ. Proc., § 452.) Nonetheless, it remains essential that a pleading set forth the actionable facts relied upon with sufficient precision to inform the responding party of the matters that the pleading party is alleging, and what remedies or relief is being sought, (see <i>Leek v. Cooper</i> (2011) 194 Cal.App.4th 399, 413). Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (<i>Schmid v. City and County of San Francisco</i> (2021) 60 Cal.App.5th 470, 481; see Code Civ. Proc., § 425.10, subd. (a).) <u>Standing</u> Cross-Defendant first contends that the 1st Cause of Action for Breach of Fiduciary Duty, 3rd Cause of Action for Fraud/Deceit by Concealment, and 4th Cause of Action for Constructive Fraud all fail because Cross-Complainants lack standing to assert claims for injuries that were suffered by Plaintiff J&Q, LLC. However, the Cross-Complaint alleges that Cross-Defendant’s breach of fiduciary duty caused injury to Cross-Complainants and not Plaintiff J&Q, LLC. (See Cross-Compl., ¶ 278 [“Giac’s breach was a substantial factor in causing Quynh’s and Quy’s harms and sustained damages in accordance to proof at trial but not less than \$200,000.”].) The same is true with respect to the injuries arising from Cross-Defendant’s alleged fraud/deceit by concealment and constructive fraud. (See <i>id.</i>, ¶¶ 39, 48 [“Giac’s breach was a substantial factor in causing cross complainants’ harms and sustained
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		damages in accordance to proof at trial but not less than \$200,000.”].) For purposes of this demurrer, the court must assume the truth of all properly pleaded factual allegations and the reasonable inferences that may be drawn from them. The court cannot determine, at this early stage, whether the harms alleged by Cross-Complainants were actually suffered by Cross-Complainants or Plaintiff J&Q, LLC. Further, while the allegations of the harms with respect to the 3rd and 4th Causes of Action are poorly drafted – pleading that the injuries were caused by Cross-Defendant’s “breach” rather than Cross-Defendant’s fraud/deceit or constructive fraud, the court must interpret the Cross-Complaint liberally and with an eye towards substantial justice. (See Code Civ. Proc., § 452.) The court will overrule the demurrer on this basis. <u>2nd Cause of Action (Failure to Pay Wages)</u> Cross-Complainants contend that this cause of action fails because it is nonsensical and uncertain. A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (<i>Khoury v. Maly’s of California, Inc.</i> (1993) 14 Cal.App.4th 612, 616.) Demurrers for uncertainty “are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (<i>Lickiss v. Fin. Indus. Regulatory Auth.</i> (2012) 208 Cal.App.4th 1125, 1135.) “[A] demurrer for uncertainty will not be sustained where the facts claimed to be uncertain or ambiguous are presumptively within the knowledge of the demurring party.” (<i>Ching v. Dy Foon</i> (1956) 143 Cal.App.2d 129, 136.) Here, “Failure to Pay Wages” is not a common law cause of action, and the Cross-Complaint does not indicate whether this cause of action sounds in contract law or another area of common law. Nor does the Cross-Complaint plead that this claim is made pursuant to the Labor Code or other statutory law.
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		The Cross-Complaint only alleges that “[Cross-Defendant] Giac and J&Q agreed to pay the cross complainants wages” and that “Cross Defendants’ failure to pay wages was a substantial factor in causing cross complainants’ harms in accordance to proof but not less than \$200,000.” (Cross-Compl., ¶¶ 30, 32.) Here, the Cross-Complaint’s failure to state what claim is being made makes it unduly difficult, if not impossible, for Cross-Defendant to respond. In addition, the allegation that “J&Q” (in addition to Cross-Defendant) agreed to pay for Cross-Complainants’ wages, creates further confusion such that Cross-Defendant cannot reasonably respond. Therefore, the court will sustain the demurrer to the 2nd Cause of Action. <u>3rd Cause of Action (Fraud/Deceit by Concealment)</u> “In California, fraud must be pled specifically” (<i>Lazar vs. Superior Court</i> (1996) 12 Cal.4th 631, 645; see also <i>Linear Technology Corp. v. Applied Materials, Inc.</i> (2007) 152 Cal.App.4th 115, 132 [“Fraud must be pleaded with specificity.”].) Concealment is a species of fraud, and “[] must be pleaded with specificity.” (<i>Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC</i> (2008) 162 Cal.App.4th 858, 878, quoting <i>Linear Technology Corp. v. Applied Materials, Inc., supra</i>, 152 Cal.App.4th at p. 132.) As the Court of Appeal has explained: This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect. (<i>Wilhelm v. Pray, Price, Williams & Russell</i> (1986) 186 Cal.App.3d 1324, 1331.) “The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom,
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		and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made." (<i>West v. JPMorgan Chase Bank, N.A.</i> (2013) 214 Cal.App.4th 780, 793.) Here, the Cross-Complaint does not contain the specificity required to plead fraud, such as the details of the misrepresentations. In fact, the Cross-Complaint's allegations of fraud/deceit by concealment essentially repeat the allegations that Cross-Defendant breached their fiduciary duties. (See Cross-Compl., ¶¶ 34-39.) Thus, the court will sustain the demurrer to the 3rd Cause of Action. <u>5th Cause of Action (Unjust Enrichment)</u> "[T]here is no cause of action in California for unjust enrichment. 'The phrase 'Unjust Enrichment' does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so.'" (<i>Melchior v. New Line Productions, Inc.</i> (2003) 106 Cal.App.4th 779, 793, quoting <i>Lauriedale Associates, Ltd. v. Wilson</i> (1992) 7 Cal.App.4th 1439, 1448.) In other words, "[u]njust enrichment is 'a general principle, underlying various legal doctrines and remedies,' rather than a remedy itself." (<i>Melchior v. New Line Productions, Inc., supra</i>, 106 Cal.App.4th 779, 793, quoting <i>Dinosaur Development, Inc. v. White</i> (1989) 216 Cal.App.3d 1310, 1315.) Here, Cross-Defendant correctly points out that unjust enrichment is not normally a separate cause of action. However, courts have held that an unjust enrichment cause of action may survive a demurrer where it adequately pleads a quasi-contractual claim (i.e., that there was an express contract but that it "was procured by fraud or is unenforceable or ineffective for some reason" or "is void or was rescinded." (See <i>Rutherford Holdings, LLC v. Plaza Del Rey</i> (2014) 223 Cal.App.4th 221, 231, quoting
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		<i>McBride v. Boughton</i> (2004) 123 Cal.App.4th 379, 388, and <i>Lance Camper Manufacturing Corp. v. Republic Indemnity Co.</i> (1996) 44 Cal.App.4th 194, 203; see also <i>Munoz v. MacMillan</i> (2011) 195 Cal.App.4th 648, 661 ["a typical cause of action involving [a restitution] remedy is 'quasi-contract.'"].) However, the Cross-Complaint fails to plead such a quasi-contractual claim. (See Cross-Compl., ¶¶ 51-52.) Accordingly, the court will sustain the demurrer to the 4th Cause of Action. <u>Leave to Amend</u> "It is an abuse of the trial court's discretion to sustain a demurrer without leave to amend if there is a reasonable possibility the plaintiff can amend the complaint to allege any cause of action." (<i>Smith v. State Farm Mutual Automobile Ins. Co.</i> (2001) 93 Cal.App.4th 700, 711.) However, it is the plaintiff's "burden to establish how the complaint can be amended to state a valid cause of action." (<i>Sanowicz v. Bacal</i> (2015) 234 Cal.App.4th 1027, 1044.) In order to meet this burden, a plaintiff may submit a proposed amended complaint or enumerate facts and demonstrate how those facts establish a cause of action. (See <i>Cantu v. Resolution Trust Corp.</i> (1992) 4 Cal.App.4th 857, 890.) Nonetheless, "for an original complaint, regardless whether the plaintiff has requested leave to amend, it has long been the rule that a trial court's denial of leave to amend constitutes an abuse of discretion unless the complaint 'shows on its face that it is incapable of amendment.'" (<i>Eghtesad v. State Farm General Insurance. Co.</i> (2020) 51 Cal.App.5th 406, 411, quoting <i>King v. Mortimer</i> (1948) 83 Cal.App.2d 153, 158; see <i>Cabral v. Soares</i> (2007) 157 Cal.App.4th 1234, 1240 ["Only rarely should a demurrer to an initial complaint be sustained without leave to amend."].) As the Court of Appeal has explained: "Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (<i>Angie M. v. Superior Court</i> (1995) 37 Cal.App.4th 1217, 1227.)
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		Here, while Cross-Complainants have not explained how they might amend the Cross-Complaint to state viable causes of action, the demurrer was asserted against the original Cross-Complaint. Thus, Cross-Complainants have not had an opportunity to amend the Cross-Complaint in response to the challenges made by Cross-Defendant. Accordingly, the court will exercise its discretion and grant leave to amend. The parties are reminded that, when leave to amend is granted upon the sustaining of a demurrer or the granting of a motion to strike, amendments are limited to the issues addressed in the court's ruling and generally may not include amendments to causes of action not addressed in the ruling or the addition of new causes of action. (See <i>Community Water Coalition v. Santa Cruz County Local Agency Formation Com.</i> (2011) 200 Cal.App.4th 1317, 1329 ["It is the rule that when a trial court sustains a demurrer with leave to amend, the scope of the grant of leave is ordinarily a limited one. It gives the pleader an opportunity to cure the defects in the particular causes of action to which the demurrer was sustained, but that is all."].) <u>Motion to Strike</u> Cross-Defendant Giac Nguyen's Motion to Strike Cross-Complainant's Cross-Complaint is GRANTED with 15 days leave to amend in part and DENIED in part. If Cross-Complainants Quynh Nguyen, Quy Nguyen, and Hanh Vu do not amend the Cross-Complaint within the period of time stated above, Cross-Defendant Giac Nguyen shall file an answer or other pleading in response to the remaining causes of action of the Cross-Complaint within 10 days of the expiration of the period of time to amend. (See Cal. Rules of Court, rule 3.1320(j).) <u>Pending Motion</u> Cross-Defendant Giac Nguyen moves to strike allegations of and prayer for punitive damages, Paragraph 42, and portions of the 5th Cause of Action of the Cross-Complaint filed by Cross-
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		Complainants Quynh Nguyen, Quy Nguyen, and Hanh Vu. <u>Standard for Motion to Strike</u> A party may move to strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.) “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim, or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) A party may also request to strike legal conclusions. (Weil & Brown, Cal. Prac. Guide, Civil Proc. before Trial, ¶ 7:179 (2010).) Specifically, conclusory allegations that are not supported by factual allegations in the complaint may be stricken. (<i>Perkins v. Superior Court</i> (1981) 117 Cal.App.3d 1, 6.) For example, prayers for relief that lack factual foundation may be stricken from a complaint. (See <i>Turman v. Turning Point of Central Calif., Inc.</i> (2010) 191 Cal.App.4th 53, 63 [trial court properly struck prayer for punitive damages where complaint failed to allege sufficient facts to show that defendant acted with malice, oppression, or fraud].) The grounds for a motion to strike must appear on the face of the pleading or from matters which the court may judicially notice. (See Code Civ. Proc., § 437.) In addition, pleadings are to be construed liberally with a view to substantial justice. (Code Civ. Proc., § 452; Weil & Brown, Cal. Prac. Guide, Civil Proc. before Trial, ¶ 7:197 (2010).) “In passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth. In ruling on a motion to strike, courts do not read allegations in isolation.” (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255, citations omitted.)
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		<u>Striking Punitive Damages</u> To obtain punitive damages, a plaintiff must plead and prove one of the following: malice, oppression, or fraud. (See Civil Code, § 3294, subd. (a).) "Malice" is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civil Code, § 3294, subd. (a)(1).) "Oppression" means "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civil Code, § 3294, subd. (a)(2).) "Fraud" is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civil Code, § 3294, subd. (a)(3).) In order to survive a motion to strike, a complaint must not only allege in general terms oppression, fraud, or malice, but also plead ultimate facts in support. (See <i>Grieves v. Superior Court</i> (1984) 157 Cal.App.3d 159, 166 ["The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim."], citations omitted.) Conduct carried on with a willful and conscious disregard of the rights or safety of others, but that is not "despicable," will not support an award of punitive damages. (<i>College Hospital Inc. v. Superior Court</i> (1994) 8 Cal.4th 704, 725.) "Despicable conduct" refers to circumstances that are so vile, base, or contemptible that it would be looked down on and despised by reasonable people. (<i>Ibid.</i>; <i>Scott v. Phoenix Schools, Inc.</i> (2009) 175 Cal.App.4th 702, 715.) Such conduct has been described as "having the character of outrage frequently associated with crime." (<i>Scott v. Phoenix Schools, Inc.</i>, <i>supra</i>, 175 Cal.App.4th at p. 715.)
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		"Consequently, to establish malice, 'it is not sufficient to show only that the defendant's conduct was negligent, grossly negligent or even reckless.'" (<i>Bell v. Sharp Cabrillo Hospital</i> (1989) 212 Cal.App.3d 1034, 1044, quoting <i>Flyer's Body Shop Profit Sharing Plan v. Ticor Title Ins. Co.</i> (1986) 185 Cal.App.3d 1149, 1155.) "The mere carelessness or ignorance of the defendant does not justify the imposition of punitive damages. . . . Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff's rights, a level which decent citizens should not have to tolerate." (<i>Lackner v. North</i> (2006) 135 Cal.App.4th 1188, 1210, citations and quotation marks omitted.) "In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (<i>Clauson v. Superior Court</i> (1998) 67 Cal.App.4th 1253, 1255.) Here, the only causes of action left standing after the demurrer are the 1st and 4th Causes of Action. The crux of the allegations underlying those claims are that Cross-Defendant breached his or her fiduciary duties to Cross-Complainants by paying himself or herself without following the proper procedures, failing to pay Cross-Complainants, and failing to maintain corporate formalities and to pay sales taxes when due. (Cross-Compl., ¶¶ 22-28, 43-48.) These allegations do not sufficiently allege fraud, malice, or oppression to support imposition of punitive damages. Therefore, the court will grant the motion to strike the allegations of and prayer for punitive damages. <u>Paragraph 42</u> Cross-Defendant also seeks to strike Paragraph 42 of the Cross-Complaint as irrelevant because it cites to state and federal law in support of the 4th Cause of Action for Constructive Fraud. However, the Cross-Complaint alleges that these authorities relate to the law of constructive fraud. (See Cross-Compl., p 42.)
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		When the pleadings are construed liberally and with a view to substantial justice, the court cannot say that they are irrelevant or should be stricken. (See Code Civ. Proc., § 452.) Therefore, the court will deny the motion to strike Paragraph 42. <u>5th Cause of Action (Unjust Enrichment)</u> Cross-Defendant next requests that the court strike the allegation that the 5th Cause of Action for unjust enrichment is asserted against "Cross Defendant Kim Vo," (see Cross-Compl. at p. 9:12), because no such party is named in this case. Cross-Defendant is correct. Accordingly, the court will grant the motion to strike. <u>Leave to Amend</u> In ruling on a motion to strike, the court employs the same liberality to amend as used for demurrers. As long as there is a reasonable possibility that plaintiffs can cure the defects, leave to amend is appropriate. (See <i>Grieves v. Superior Court</i> (1984) 157 Cal.App.3d 159, 168; <i>Price v. Dames & Moore</i> (2001) 92 Cal.App.4th 355, 360.) However, it is the plaintiff's "burden to establish how the complaint can be amended to state a valid cause of action." (<i>Sanowicz v. Bacal</i> (2015) 234 Cal.App.4th 1027, 1044.) In order to meet this burden, a plaintiff may submit a proposed amended complaint or enumerate facts and demonstrate how those facts establish a cause of action. (See <i>Cantu v. Resolution Trust Corp.</i> (1992) 4 Cal.App.4th 857, 890.) Nonetheless, "for an original complaint, regardless whether the plaintiff has requested leave to amend, it has long been the rule that a trial court's denial of leave to amend constitutes an abuse of discretion unless the complaint 'shows on its face that it is incapable of amendment.'" (<i>Eghesad v. State Farm General Insurance. Co.</i> (2020) 51 Cal.App.5th 406, 411, quoting <i>King v. Mortimer</i> (1948) 83 Cal.App.2d 153, 158; see <i>Cabral v. Soares</i> (2007) 157 Cal.App.4th 1234, 1240 ["Only rarely should a demurrer to an initial complaint be sustained without leave to amend."].)
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		As the Court of Appeal has explained: "Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (<i>Angie M. v. Superior Court</i> (1995) 37 Cal.App.4th 1217, 1227.) Here, while Cross-Complainants have not explained how they might amend the Cross-Complaint to state viable causes of action, the motion to strike was asserted against the original Cross-Complaint. Thus, Cross-Complainants have not had an opportunity to amend the Cross-Complaint in response to the challenges made by Cross-Defendant. Accordingly, the court will exercise its discretion and grant leave to amend. The parties are reminded that, when leave to amend is granted upon the sustaining of a demurrer or the granting of a motion to strike, amendments are limited to the issues addressed in the court's ruling and generally may not include amendments to causes of action not addressed in the ruling or the addition of new causes of action. (<i>See Community Water Coalition v. Santa Cruz County Local Agency Formation Com.</i> (2011) 200 Cal.App.4th 1317, 1329 ["It is the rule that when a trial court sustains a demurrer with leave to amend, the scope of the grant of leave is ordinarily a limited one. It gives the pleader an opportunity to cure the defects in the particular causes of action to which the demurrer was sustained, but that is all."].) Cross-Defendant shall give notice of these rulings.
8	Ramirez vs. City of Santa Ana 30-2022-01287702	<u>Motion for Attorney's Fees</u> Defendant City of Santa Ana's Motion for Attorney's Fees in the Amount of \$554,413.50 and Costs in the Amount of \$293,141.29 is DENIED. <u>Pending Motion</u> Defendant City of Santa moves for an award of attorney's fees in the amount of \$554,413.50 and costs in the amount of \$293,141.29.